

The development of the middle class - the impact of the Chinese middle class on norm development in contemporary Chinese society

Author Jean-Louis Rocca, in his work, "The Making of the Chinese Middle Class", says, "Until the middle of the 1990s, there was no mention of a *Chinese* middle class in sociology journals."¹ Since then, the status and definition of this middle class has been debated. Initially thought to include only intellectuals, the class was later expanded to include private and individual entrepreneurs, and high ranking technicians and managers in large enterprises. This new Chinese middle class had emerged from a combination of the Marxist "bourgeoisie" of the old intelligentsia and the part of the population that had experienced a recent rise in socio-economic standards through benefitting from social reform and economic gains.

The initial development of this middle class could be attributed to the economic reform seen across the country in the late 1970s. After the failure of the Cultural Revolution, the death of Mao Zedong in 1976, the rise to power of Deng Xiaoping and the understanding within the Chinese communist Party that drastic reform was required to revive the economy, China began implementing policies that drove the expansion of a class increasingly benefitting from a growing economy, yet unable to reach as high as the deeply entrenched upper class with social capital and money passed down through multiple generations.²

One such reform was the expansion of higher education in China. An expansion of the Chinese university system meant that an increased number of people had access to higher education degrees and therefore better paying jobs, something that had never been a possibility to them before. The 1985 policy of "universal higher education", which relied on merit-based admissions to universities allowed students from previously lower income classes to access education and thus boost their social standing. In fact, between 1980 and 1990, the number of students in Chinese universities grew by 129%, from 1.4 to 3.2 million.³ Therefore, education served as an important factor in propelling the development of a "new" middle class comprised of individuals whose social standing was driven by increased income as compared to the traditional intellectuals whose value was in their ideas.

The 1978 reforms had not only such domestic, but also international dimensions which impacted the growth of the Chinese middle class. This was mainly seen in the opening up of the Chinese economy, and its move towards increased (although not complete) liberalism. The country began to allow foreign investment and promote market- oriented policies. Examples include the establishment of Special Economic Zones in the 1980s which brought capital and technology into the country by attracting foreign investment through preferential treatment in specific zones.⁴ This surge of private enterprise led to the creation of new opportunities for previously lower-class members as they had access to more jobs opportunities and wealth. Once again, this allowed the growth of a new middle class that expanded beyond the scope of the still relevant intelligentsia.

The growth of this middle class has continued till today and has allowed its members to have significant impact on contemporary society. As its population and influence has grown, the middle

¹ Rocca, Jean Louis. The Making of the Chinese Middle Class. Springer Nature, 2017.

² Waldron, Peter, and Jean Bottaro. History for the IB Diploma Paper 3 The People's Republic of China (1949–2005). Cambridge University Press, 2016

³ Chandra, Amita, and Elizabeth M. King. "Education in China: Lessons for India." The World Bank, 2013

⁴ Waldron, Peter, and Jean Bottaro. History for the IB Diploma Paper 3 The People's Republic of China (1949–2005). Cambridge University Press, 2016

class has begun to impact ways of living and standards across the country, creating norms in areas ranging from commerce to governance. Author Yu Hua asserts in his book, "China in Ten Words", that the social and economic changes in China over the past 5 decades have resulted in the middle class becoming a "key driver" of social change in China.⁵ This paper will therefore seek to analyse this claim and explore "To what extent does the Chinese middle class impact norm development in contemporary Chinese society?"

The emergence of the Chinese middle class that is becoming increasingly prosperous has led to a change in Chinese consumerism. The purse strings of the middle class have loosened and the use of disposable income across the country leads to influence on trends and norms. In the age of a global economy, this means that foreign companies must adjust to Chinese tastes and requirements.

Author Wang Hui, in his book "China's New Order: Society, Politics, and Economy in Transition", argues that the middle class has become key to consumerist tendencies in China.⁶ In line with this, one area that has seen significant change because of the Chinese middle class is the luxury fashion industry. As the Chinese middle class has grown, it has become important for them to spend their money on reaffirming this relatively new position in society – members often seek to establish themselves with luxury items to differentiate themselves from classes below them, while maintaining an eye on unnecessary costs that they may not be able to sustain. The Chinese middle class has therefore struck a balance between taste and spending which characterises their consumerism.⁷

While the Chinese market made up only 11% of global luxury sales before the pandemic, it has increased to 20% by 2023 and is estimated to make up approximately 40% of global luxury sales by 2030.⁸ The trend for the middle class has been to increasingly shop for luxury domestically, and since the pandemic, the importance of 'travelling to buy expensive' has diminished. This has pushed international brands to strengthen their presence within China, both physically and online. With a target audience 5 years lower than the global average, China and its middle class have influenced brands such as Louis Vuitton and Prada to lay more importance on the availability and style of their online presence.⁹ Other than the incorporation of Mandarin into promotions, luxury companies have also begun to attract consumers by reaching out to them on platforms frequently used only in China. Dior, Chanel and Burberry have been using WeChat and Weibo to connect with the Chinese middle class since 2013, 14 and 15 respectively.¹⁰ The rise of Chinese-oriented marketing has also affected product development, with new designs in the industry heavily featuring red and gold as a nod to traditional Chinese designs.

The Chinese middle class has therefore provided a large market for luxury goods. The norm has increasingly become to spend on items that are distinct, convey good socio-economic standing, but do not infringe largely on newly acquired wealth. This has in turn influenced trends in the arena, from development to marketing of products and brands geared towards this Chinese middle class.

⁵ Hua, Yu. China in Ten Words. Translated by Allan H. Barr, Vintage Books, 2012.

⁶ Hui, Wang. China's New Order: Society, Politics, and Economy in Transition. Translated by Theodore Hutters, Harvard University Press, 2003.

⁷ Rocca, Jean Louis. "Chinese Society: New Norms and Lifestyles." Lecture, Sciences Po, March 2023.

⁸ Farfetch. "Guest Lecture for the Class 'EU China Relations' by Jean Langlois." Sciences Po, February 2023.

⁹ IBID.

¹⁰ "Gucci's Pioneering Hybrid Voice on WeChat." Chinessima, MNC, 2019, <https://chinessima.com/en/2019/03/guccis-pioneering-hybrid-voice-on-wechat.html>.

However, the Chinese middle class is capable of affecting change through more than just the use of their disposable income. While known worldwide for their consumerism, the Chinese middle class has also successfully challenged the norms pertaining to governance within their country recently.

As the middle class has grown and become more aware of their influence, as well as been more exposed to Western media and ideals, there has emerged a growing need for transparency and accountability from the government. This has also been driven by a heightened awareness of the corruption that exists in Chinese politics. As the Chinese population has become more educated wealthy, largely through the middle class, an understanding of politics has diffused through the nation, which has been made acutely aware of the necessity of transparent and fair governance. This can be seen in public outcries such as the one in 2012 that was sparked by Chinese journalist Luo Changping, who high level officials in the Communist Party for corruption using social media.¹¹ In 2014, the government response was an “anti-corruption” campaign launched by President Xi Jinping, which although could be regarded as a way for Xi to purge opposition, was highly applauded by the Chinese middle class as a concrete step towards increased accountability from the government.¹²

This trend has translated into a widespread desire within Chinese society for more democratic values and institutions. Despite its official regime having been established as a One Party State under the Chinese Communist Party, China has been swept by a wave of support for democratic values such as individual freedoms, rule of law and political participation. One of the first examples of this was the 2011 “Charter 08”, written by intellectuals of the middle class and circulated widely amongst the rest, which called for political reform and respect for human rights. Despite having led to the imprisonment of its lead author Liu Xiaobao, this Charter came at the beginning of what was to become a collective political consciousness of the Chinese middle class.¹³ Another popular movement emerged in 2020 surrounding the overexploitation and working conditions of tech workers. The “996.ICU” movement, which called for greater worker’s rights, was also widely supported by the middle class.¹⁴

However, this middle class, which since 1997 has included that of Hong Kong as well, saw its biggest fight against the government in recent history erupt in 2019 with the proposition of an extradition law from Hong Kong and the perceived threat to Hong Kongese liberty and autonomy. Led mainly by middle class intelligentsia and activists, the protests lasted till May 2020 and called for greater democratic freedoms.¹⁵

It is therefore evident that the Chinese middle class has played an important role in shaping the narrative and trends around political action within China over the past decade. As author Richard

¹¹ Lai, Mimi. "China charges former journalist Luo Changping over 'insults' about Korean war movie soldiers." South China Morning Post, 2022, <https://www.google.com/amp/s/amp.scmp.com/news/china/politics/article/3167685/china-charges-former-journalist-luo-changping-over-insults>

¹² Marie-Claire. "The New Anti-Corruption Campaign in China (2012-2014)." BergèreThe European Alliance for Asian Studies, 2015, <https://www.gis-reseau-asie.org/en/new-anti-corruption-campaign-china-2012-2014>

¹³ Bristow, Michael. "Charter 08: A call for change in China." BBC News, 9 December 2010. <https://www.google.com/amp/s/www.bbc.com/news/world-asia-pacific-11955763.amp>

¹⁴ Li, Xiaotian. "The 996.ICU Movement in China: Changing Employment Relations and Labour Agency in the Tech Industry." 2019. Made in China Journal, vol. 4, no. 2, ANU Press, 2019, pp. 54–59, <https://search.informit.org/doi/10.3316/informit.019670750084977>.

¹⁵ Human Rights Watch. "Hong Kong Protests." Human Rights Watch, 6 December 2019. <https://www.hrw.org/blog-feed/hong-kong-protests>

McGregor says in his book "The Party: The Secret World of China's Communist Rulers", the middle class' influence on politics can be seen in the challenges that it poses to the Communist Party.¹⁶

It can be assessed that while the middle class is composed of both entrepreneurial or business workers and intelligentsia, the former is more responsible for leading and setting economic trends, such as those related to consumerism and luxury goods, while the latter plays a larger role in political activism. This is unsurprising, given the economic versus ideological nature that defines these two sub-groups within the Chinese middle class.

However, this increasing influence of the middle class does have its limits. Most notably, this was seen in the impact of the Hong Kong protests. The protestors, led by the middle class, were eventually unable to effect change and achieve their aims due to government crackdowns. The use of police force against protestors included tear gas, rubber bullets and batons. Specific individuals who were supposed influential figures or leaders in the protests were also targeted and prominent activists such as Joshua Wong and Agnes Chow were arrested.¹⁷ The government enforced laws to restrict the rights of individuals, such as the Public Order Ordinance, which gave the police broad powers to arrest and detain individuals for a range of activities related to the protests, thus curbing free speech and political expression. Most importantly, Beijing implemented the National Security Law (NSL), in June 2020.¹⁸ The law, which criminalized secession, subversion, terrorism, and collusion with foreign forces, is widely used to suppress dissent. The Hong Kong case is a great example of the limits of influence of the Chinese middle class, showing that democratic norms/trends that might have been set by them can sometimes have not only little, but also negative impacts.

Notwithstanding political confrontations, the rise of the middle class has also been viewed negatively by members of other social classes in China.

This can be seen in the resentment harboured by the working and lower classes. One of the primary issues that drives this is the rise of income inequality. In 2021, China's Gini Coefficient, an indicator to measure income inequality, reached the very high score of 46.6 (0.466) points.¹⁹ As the middle class continues to benefit from social policies and accumulate wealth, the gap between them and the working and lower classes increases, leading to the development of a sense of injustice in the latter. This is further materialised in the lack of social mobility between classes. While it was relatively simple in the 1980s for the middle class to benefit from targeted economic policies and rise socio-economically, it has now become very difficult for members of lower classes to improve their living standards and upgrade their socio-economic status. This can be linked to the initial rapid urbanisation of Chinese society that had appeared parallel to the rise of the middle class and had allowed for the accommodation of the new masses into the socio-economic fabric of enterprise and industry. However, today the impact of this is seen in the lack of opportunities available to individuals and youth from rural backgrounds, who do not benefit from the same healthcare and educational opportunities as the middle class in urbanised cities. According to a report by the OECD,

¹⁶ McGregor, Richard. *The Party: The Secret World of China's Communist Rulers*. Harper Perennial, 2012.

¹⁷ Ramzy, Austin and Tiffany May. "Joshua Wong and Agnes Chow Are Sentenced to Prison Over Hong Kong Protest." *The New York Times*, 2 Dec. 2020, <https://www.nytimes.com/2020/12/02/world/asia/joshua-wong-agnes-chow-hong-kong.html>

¹⁸ Tsoi, Grace and Lam Cho Wai. "Hong Kong national security law: What is it and is it worrying?" *BBC*, 22 May 2020, updated 28 June 2022, <https://www.google.com/amp/s/www.bbc.com/news/world-asia-china-52765838.amp>

¹⁹ "Gini index: inequality of income distribution in China 2004-2021", Statista, Dec 8, 2022, [https://www.statista.com/statistics/250400/inequality-of-income-distribution-in-china-based-on-the-gini-index/#:~:text=In%202021%2C%20China%20reached%20a,\(or%200%20and%201\).](https://www.statista.com/statistics/250400/inequality-of-income-distribution-in-china-based-on-the-gini-index/#:~:text=In%202021%2C%20China%20reached%20a,(or%200%20and%201).)

"social background has a strong impact on student achievement in China and that education is not yet an equalizer of opportunities." In 2019, only 7.5% of students from rural areas were accepted into China's high ranking universities, in comparison to 28.8% of students from urban areas.

Simultaneously, the rise of the middle class has also made members of the upper class and elite wary. This is for multiple reasons, the first being a competition for resources. As the middle class in China increases, they provide the elite with increased competition for limited resources such as upscale housing, education and healthcare. This has driven prices up in recent years and 70 major Chinese cities saw costs rise by 4.9% on average in March 2016²⁰. This has caused tension between members of both strata. This is furthered by the middle classes' tendency to demand corporate social responsibility, a norm that they are largely responsible for creating within contemporary Chinese society. As the middle class becomes increasingly aware and perceptive of environmental issues, it has begun to demand sustainable processes and actions from firms run by the elite which has put a strain on the profitability and in turn, income of those in the upper class. This is evident through surveys such as that conducted by Edelman in 2018, which saw 77% of Chinese respondents agree that companies should be judged on more than just their financial performance.²¹

Most importantly, the elite are worried about the successful maintenance and reproduction of their role in society and feel threatened by the increased influence of the middle class. The prominent role that the middle class plays in creating and promoting norms in the media, economy and politics is worrying to elites who traditionally maintain their status in society through involvement in policy shaping and trendsetting.

Despite the opposition from both the above and below to the increasing influence of the middle class in China, the government has actively supported its growth as it believes that the middle class is integral to maintaining the rapid economic growth that China has been benefitting from since the early 2000s. It has done so by investing in social welfare programmes. For example, in 2018, the government spent more than 1640 billion RMB on social security services including pensions, health insurance, and unemployment benefits.²² These benefits are in parallel to the support being giving to entrepreneurship and innovation to incentivise economic growth through the expansion of industry and job markets. Plans such as the "Interest Plus" plan have resulted in 4.4 million new companies being registered in China in 2020.²³ Standard of living is being improved through policies such as the increase of minimum wage by approximately 10% in 25 provinces/regions in 2021. This came after an announcement in 2020 that 10 million affordable housing units aimed at middle class consumers would be constructed to encourage home ownership. All of these policies aimed at the middle class do not forget the²⁴ importance of the youth and next generation, who benefit from vocational educational and training programs. It is clear that the Chinese government is aiming to continue the growth in the Chinese economy by using their most valuable resource: the middle class. Similar

²⁰ "China new home prices rise 4.9% on year in March", CNBC, April 18, 2016, <https://www.google.com/amp/s/www.cnbc.com/amp/2016/04/18/china-new-home-prices-rise-49-on-year-in-march.html>

²¹ Edelman Trust Barometer, Edelman, 2018

²² Health Financing." World Health Organization, n.d., <https://www.who.int/china/health-topics/health-financing>.

²³ "OECD Science, Technology and Innovation Outlook 2021." OECD iLibrary, Organisation for Economic Co-operation and Development, 2021, <https://www.oecd-ilibrary.org/sites/a3891ad8-en/index.html?itemId=/content/component/a3891ad8-en>.

²⁴ "Minimum Wage Hikes Sweep China in Common Prosperity Push." Nikkei Asia, 18 May 2023, <https://asia.nikkei.com/Economy/Minimum-wage-hikes-sweep-China-in-common-prosperity-push>.

socio-economic policies as the ones that led to the rise of the middle class in the 1980s continue to be used in the hopes of replicating, if not improving, the results.

In conclusion, the rise of the middle class in China from 1978 onwards has been a major factor in the transformation of Chinese society. In contemporary Chinese society, the middle class has a large impact on norm creation and their widespread influence is clearly visible in multiple areas. From affecting the economy through the creation of norms in luxury consumerism, to challenging current governance methods through political action, the middle class is prominent in multiple areas of society. It can be said that due to the multiple sub-groups that comprise this middle class and their distinct involvement in different spheres of society, their combined effect can be seen in almost every aspect of contemporary Chinese life.

While their economic influence is unparalleled, the middle class has significant, but limited impact on governance as the Chinese Communist Party refuses to grant much political leeway in the country. Nevertheless, despite backlash from both the lower working classes and the elite, the middle class continues to rise. Unfettered by the worries of other strata of society who see them as a competitive threat, the middle class can rely on the support of the government. This is because of what seems to be their biggest advantage: their role in economic growth. While the historic rise of the middle class was achieved through specific policies, the government today seems to be recreating these policies in an effort to maintain the momentum that the Chinese economy has gained over the past 2 decades. As the middle class has proven themselves to be an integral part of the economy and thus society, their influence on socio-economic and cultural norms is not only accepted, but also reinforced allowing them to maintain and enhance their position in society.

The rise of the middle class in China is widely accepted in academic circles. Yet, the composition of this middle class is not, with authors such as Yu Hua, Richard McGregor and Wang Hui all highlighting the diversity that exists within this socio-economic group. While this paper has addressed this issue to a small extent, further exploration into the divisions and competition within the middle class is possible and could provide a good addition to the findings of this paper.

Bibliography:

- Rocca, Jean Louis. *The Making of the Chinese Middle Class*. Springer Nature, 2017.
- Waldron, Peter, and Jean Bottaro. *History for the IB Diploma Paper 3 The People's Republic of China (1949–2005)*. Cambridge University Press, 2016
- Chandra, Amita, and Elizabeth M. King. "Education in China: Lessons for India." *The World Bank*, 2013
- Waldron, Peter, and Jean Bottaro. *History for the IB Diploma Paper 3 The People's Republic of China (1949–2005)*. Cambridge University Press, 2016
- Hua, Yu. *China in Ten Words*. Translated by Allan H. Barr, Vintage Books, 2012.
- Hui, Wang. *China's New Order: Society, Politics, and Economy in Transition*. Translated by Theodore Hutters, Harvard University Press, 2003.
- Rocca, Jean Louis. "Chinese Society: New Norms and Lifestyles." Lecture, Sciences Po, March 2023.
- Farfetch. "Guest Lecture for the Class 'EU China Relations' by Jean Langlois." Sciences Po, February 2023 "Gucci's Pioneering Hybrid Voice on WeChat." *Chinissima*, MNC, 2019, <https://chinissima.com/en/2019/03/guccis-pioneering-hybrid-voice-on-wechat.html>.
- Lai, Mimi. "China charges former journalist Luo Changping over 'insults' about Korean war movie soldiers." *South China Morning Post*, 2022, <https://www.google.com/amp/s/amp.scmp.com/news/china/politics/article/3167685/china-charges-former-journalist-luo-changping-over-insults>
- Marie-Claire. "The New Anti-Corruption Campaign in China (2012-2014)." *BergèreThe European Alliance for Asian Studies*, 2015, <https://www.gis-reseau-asie.org/en/new-anti-corruption-campaign-china-2012-2014>
- Bristow, Michael. "Charter 08: A call for change in China." *BBC News*, 9 December 2010. <https://www.google.com/amp/s/www.bbc.com/news/world-asia-pacific-11955763.amp>
- Li, Xiaotian. "The 996.ICU Movement in China: Changing Employment Relations and Labour Agency in the Tech Industry." 2019. *Made in China Journal*, vol. 4, no. 2, ANU Press, 2019, pp. 54–59, <https://search.informit.org/doi/10.3316/informit.019670750084977>.
- Human Rights Watch. "Hong Kong Protests." *Human Rights Watch*, 6 December 2019. <https://www.hrw.org/blog-feed/hong-kong-protests>
- McGregor, Richard. *The Party: The Secret World of China's Communist Rulers*. Harper Perennial, 2012.
- Ramzy, Austin and Tiffany May. "Joshua Wong and Agnes Chow Are Sentenced to Prison Over Hong Kong Protest." *The New York Times*, 2 Dec. 2020, <https://www.nytimes.com/2020/12/02/world/asia/joshua-wong-agnes-chow-hong-kong.html>
- Tsoi, Grace and Lam Cho Wai. "Hong Kong national security law: What is it and is it worrying?" *BBC*, 22 May 2020, updated 28 June 2022, <https://www.google.com/amp/s/www.bbc.com/news/world-asia-china-52765838.amp>
- "Gini index: inequality of income distribution in China 2004-2021", *Statista*, Dec 8, 2022, [https://www.statista.com/statistics/250400/inequality-of-income-distribution-in-china-based-on-the-gini-index/#:~:text=In%202021%2C%20China%20reached%20a,\(or%200%20and%201\).](https://www.statista.com/statistics/250400/inequality-of-income-distribution-in-china-based-on-the-gini-index/#:~:text=In%202021%2C%20China%20reached%20a,(or%200%20and%201).)
- "China new home prices rise 4.9% on year in March", *CNBC*, April 18, 2016, <https://www.google.com/amp/s/www.cnbc.com/amp/2016/04/18/china-new-home-prices-rise-49-on-year-in-march.html>
- Edelman Trust Barometer, Edelman, 2018

- Health Financing." World Health Organization, n.d., <https://www.who.int/china/health-topics/health-financing>.
- "OECD Science, Technology and Innovation Outlook 2021." OECD iLibrary, Organisation for Economic Co-operation and Development, 2021, <https://www.oecd-ilibrary.org/sites/a3891ad8-en/index.html?itemId=/content/component/a3891ad8-en>.
- "Minimum Wage Hikes Sweep China in Common Prosperity Push." Nikkei Asia, 18 May 2023, <https://asia.nikkei.com/Economy/Minimum-wage-hikes-sweep-China-in-common-prosperity-push>.